

Q1 2025

Custom Managed Portfolios

QV Dividend Income (RI)

Quick facts

Asset class:
Canadian Large Cap

Management style:
Dividend Focus¹

Number of holdings:
36

Sub-advisor:
QV Investors Inc.

Portfolio manager:
Aviso Wealth

Minimum investment:
\$150,000

Inception Date:
January 01, 1999



What does the strategy invest in?

This strategy will mostly invest in equities of Canadian large capitalization companies that produce stable, predictable cash flows and distributions. The mandate also allows for a very limited exposure to US equities. QV adheres to strict Socially Responsible Investing (RI) principles when it selects securities for this mandate..

How has the strategy performed?

Average annual compound returns

	3 month	YTD	1 yr	3 yr	5 yr	10 yr	SI
Portfolio	1.1%	1.1%	13.1%	8.2%	17.1%	7.8%	11.7%
Benchmark ⁵	1.5%	1.5%	15.8%	7.8%	16.8%	8.6%	8.0%

Calendar year returns

	2024	2023	2022	2021	2020	2019	2018
Portfolio	19.4%	8.2%	2.5%	28.3%	-1.0%	20.5%	-11.3%
Benchmark ⁵	21.6%	12.0%	-5.9%	25.1%	5.6%	22.9%	-8.9%

Standard deviation	7.7%	Sortino ratio	1.68	Upside capture	91.7%
Sharpe ratio	1.30	Beta (Equity)	0.73	Downside capture	55.8%

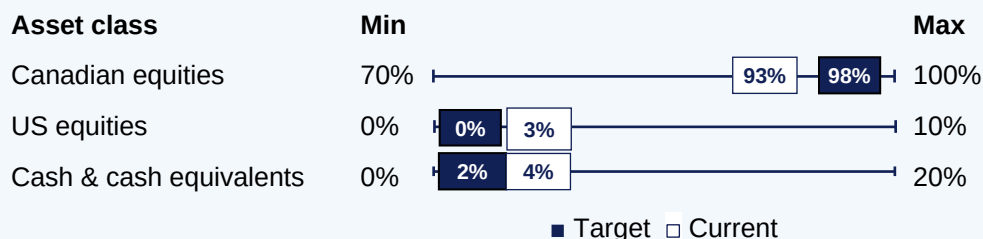
Largest holdings

1. SUN LIFE FNCL INC	5.2%	6. INTACT FINL CORP	4.1%
2. CCL INDS INC CL B	5.0%	7. IA FINANCIAL CORP INC	3.9%
3. ALIMENTATION COUCHE-TARD	4.9%	8. QUEBECOR INC CL B	3.7%
4. ENBRIDGE INC	4.6%	9. ROYAL BANK OF CDA	3.5%
5. CGI INC	4.1%	10. LOBLAW COS LTD	3.3%

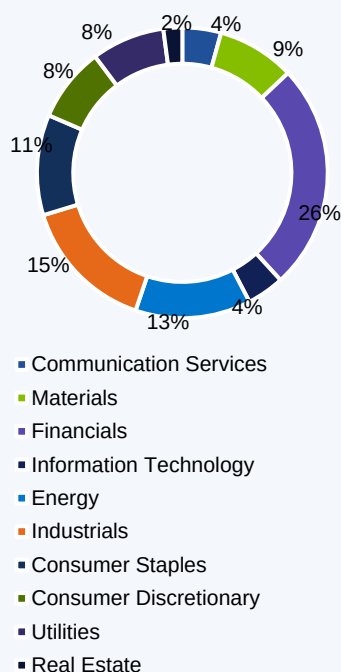
Portfolio attributes

Dividend yield	Average Trailing P/E	Average Forward P/E	Average Trailing P/S	Average Forward P/S	Average market cap	Portfolio turnover
2.6%	23.41	14.37	4.83	2.82	46.72B	56.8%

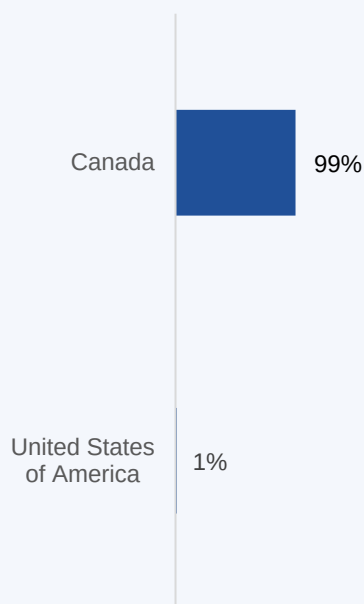
Target allocations



Sector breakdown



Geographic allocation



Quarterly commentary

Underperformance in the quarter was mostly caused by less exposure to gold-related equities compared to the TSX. Investments in the consumer discretionary and industrials sectors also were a drag on performance. Mostly offsetting the headwinds in the quarter were the Fund's holdings of utilities, financials, and energy stocks.

The strategy's top contributing investments in the quarter were Franco Nevada Corp., Quebecor Inc. and Intact Financial Corp. The largest detractors were TFI International Inc., BRP Inc. and Alimentation Couche-Tard Inc.

No new investments were initiated upon in the quarter, while Canadian Tire Corp., Empire Co., and Telus International were all exited. The Fund began investing in Empire years ago when its valuation was near all-time lows. It since grew in value closer to a level where we surmised our margin of safety was not quite as strong as it was before. In Canadian Tire, it became more apparent after many years of patiently waiting that the business is not performing to the level the sub-advisor thinks its capable of. Financial performance had been disappointing for a while though the turnaround into greater fortunes had yet to make meaningful progress. Thus, the position was sold while the market valuation was reasonable enough and the proceeds moved into other opportunities. All shares of Telus International had been progressively sold over time after the company lost business from key customers and price competition in its markets intensified.

During the quarter, U.S. tariff threats conjured fears of a slowdown in the economy. Amid the volatility, the market presented a few compelling opportunities. Several high-quality industrial companies which the Fund has been a long-term shareholder in became more appealing for additional investment during Q1. These included the Caterpillar equipment dealer Finning International Inc., railway companies Canadian National and Canadian Pacific, the transportation giant TFI International Inc., and Richelieu Hardware Ltd. A handful of others were added to as well.

There were some casualties to the tariff turbulence. Auto parts suppliers Magna International Inc. and Linamar Corp., and the recreational vehicles leader BRP Inc., all suffered because of their major manufacturing bases being in Mexico, Canada, and Europe. Their total weights in the strategy were limited heading into the ordeal reducing the total impact to the strategy. The "on-again, off-again" pattern of the U.S. tariffs on Canadian and Mexican goods makes it difficult to predict what might happen from here and there will likely be an overhang on these companies for some time. The sub-advisor endeavours to manage the risk in the strategy to this threat, though for now they think that the possibility of a resolution being reached presents significant upside to patient investors. One of the most fascinating trends in the market is the ongoing bull market in gold prices to all time highs which is signalling that the market is concerned about geopolitics, monetary policy, inflation, and stability of the global economy. Canada's banks, which have more on the line in understanding the big picture of the economy than any other group of businesses in the country, each offered somewhat mixed outlooks about what might happen. The "known unknowns" which are clouding the outlook for banks and investors alike are significant and will dominate the market's mind over the near term. The level, duration, and breadth of U.S. tariffs on foreign goods will likely be the dominant matter. Soon,

Canada will go to the polls for a national election which could define how its trade relationship with the U.S. evolves.

While many changes will take shape in the near-term, the sub-advisor's commitment to managing risk to protect client wealth by investing for the long-term in quality companies with a margin of safety, will not be altered. This discipline has endured years of transformations in the economy and political landscape, providing confidence that the strategy will be well positioned for any further volatility in the market



Investment manager overview

QV Investors Inc. is a Calgary-based portfolio management firm, founded in 1996, that is focused on balanced, Canadian equity, and fixed income portfolios for individuals, not-for-profit organizations, and institutional investors. QV stands for Quality and Value. The firm was founded by Leighton F. Pullen and is 100% employee owned.

Investment philosophy

In managing equities, QV believes that an emphasis on risk analysis and realistic expectations for growth are imperative. They place a large weighting on the quality of management and buy companies that demonstrate proven records, focused strategies, competitive products and services and superior financial quality. They further believe that a keen eye to value disciplines their investing. Their depth of experience, independent research, and comparative and measured analysis provides the base for high quality growth over the long term.

Investment process and risk controls

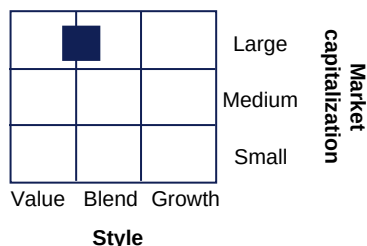
The QV uses fundamental research to identify corporate management teams who are able to sustain or improve the return on shareholder's equity and to create growth on a per share basis. In their analysis, they examine the executives' ownership, their integrity and vision, the promise of the business in a global context, the record of growth in shareholder's equity, earnings, and dividends and the corporation's financial strength, and the price paid for growth and/or assets. Their research process is internal with all managers assigned specific responsibilities and engaged in the selection and evaluation process.

Analysts meet daily to review analysis, monitor holdings, and examine the changing market and corporate fundamentals. They employ an open office environment to promote continuous communication of corporate news and developments.

Risks are governed by portfolio management and the continuous measurement of the character of the total portfolio. Specifically, they monitor the portfolio's diversification and quantitative characteristics. These include measures of financial quality, value and growth ratios, and sector and industry weightings. All of these are compared against the appropriate benchmarks. Their selections and weightings are adjusted in accordance with the prospects for economic growth and the valuations placed on the markets and securities.

QV maintains return on equity and other characteristics of the portfolio equal to or better than the character of the market as a whole and consistent with their global outlook. Such measures allow them to compare potential additions of new investment opportunities and reduce risk in aggressive markets.

Equity style²



About Aviso Wealth

Aviso Wealth is part of Aviso, one of Canada's largest independent wealth management firms. Owned by the credit unions, we serve hundreds of thousands of investors at credit unions across Canada.

With approximately \$130 billion of assets under administration and management, Aviso has the resources to bring the best products and services to credit unions and their members. Invest with confidence, with your credit union and Aviso.

- Nearly 30 years as the wealth management provider to credit unions across Canada
- One of Canada's largest independent wealth management firms
- Parent company of Aviso Wealth, NEI Investments, and Qtrade
- Owned by Canada's credit unions and Desjardins



¹ Dividend Focus: An Investing style that focuses on sustainable and growing dividend payouts

² Style represents the aggregate characteristics of the underlying holdings within this model. Market capitalization measures the aggregate market value of the outstanding shares of a company. Large-cap stocks are defined as the group that accounts for the top 70% of the capitalization of each geographic area; mid-cap stocks represent the next 20%; and small-cap stocks represent the balance.

³ Duration measures the sensitivity of the fixed income investments to interest rate changes measured in years. In general, the longer the duration, the more sensitive the investment will be to interest rates changes. Credit quality measures the underlying issuer's ability to repay their debt.

The return data is as at March 31, 2025. Indicated rates of return are historical annual compounded total returns including reinvestment of all distributions for the period ended, and do not take into account management expenses, account sales, redemption, distribution or optional charges or income taxes payable by any security holder that would have reduced returns.

The information contained in this report was obtained from sources believed to be reliable; however, we cannot guarantee that it is accurate or complete. The Custom Managed Portfolios is distributed by Aviso Wealth Inc. Mutual funds and other securities are offered through Aviso Wealth Inc. Referral fees, commissions, management fees, and expenses all may be associated with managed accounts or the investments therein. Please read the prospectus before investing. Managed accounts, and the investments therein, are not insured nor guaranteed, their values change frequently and past performance may not be repeated.

⁵ The benchmark is S&P/TSX Composite TR Index.

Aviso Wealth Inc. ('Aviso') is a wholly owned subsidiary of Aviso Wealth LP, which in turn is owned 50% by Desjardins Financial Holding Inc. and 50% by a limited partnership owned by the five Provincial Credit Union Centrals and The CUMIS Group Limited.

2100551E 10/21